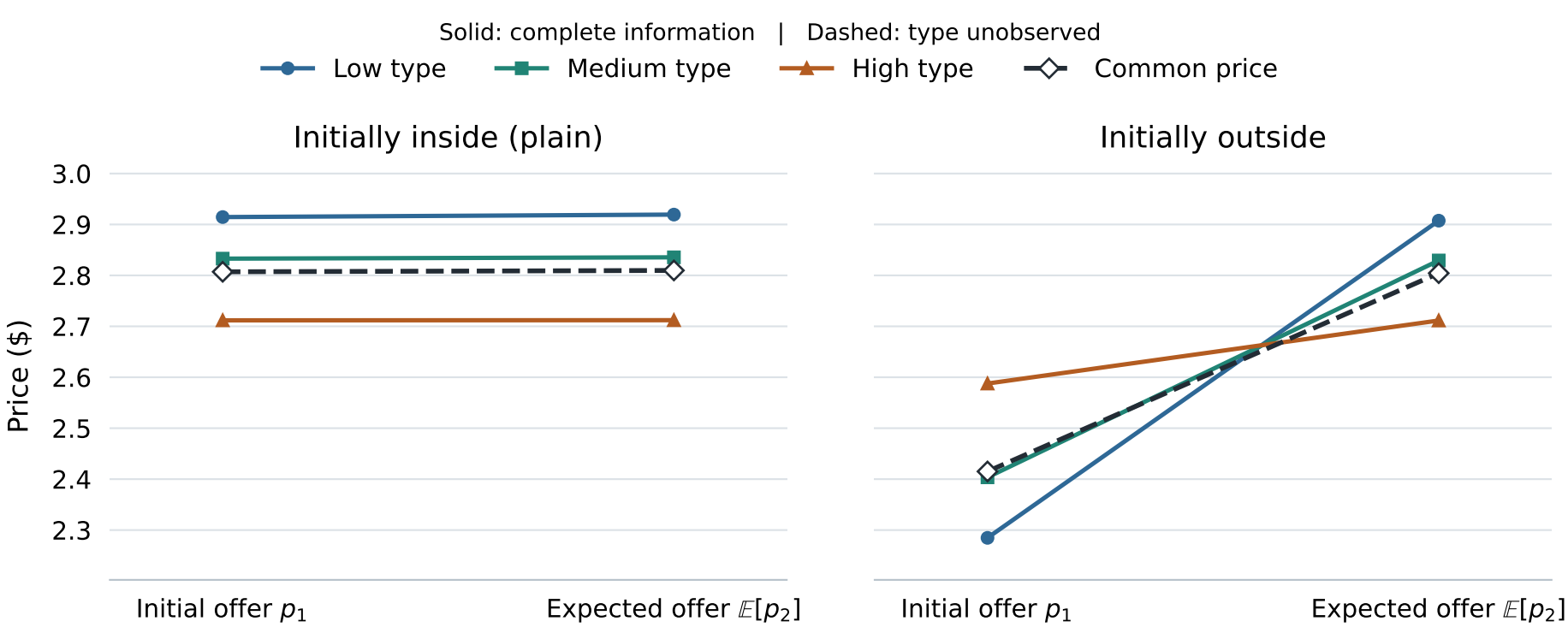
Solid: complete information | Dashed: type unobserved
Low type
Medium type
High type
Common price
Initially inside (plain)
Initially outside
Price ($)
3.0
2.9
2.8
2.7
2.6
2.5
2.4
2.3
Initial offer p_1
Expected offer $\mathbb{E}[p_2]$
Initial offer p_1
Expected offer $\mathbb{E}[p_2]$